

What Do You Believe? Why?

ONE OF THE most important aspects of becoming a good investor is creating a model of the world around you. To do this, you must have the ability to make sense of incomplete and sometimes contradictory information.

This is not easy. It is often counterintuitive.

What seems like an obvious market-moving data point or piece of news is very often *already* reflected in prices. If I know this thing—because I found it through public sources—doesn't everybody else already know it too? Well-known and widely understood information is almost always already reflected in market prices.

This is the key difference between investing and other pursuits, like politics, sports, or religion: The feedback loop in markets for mistakes is so much faster than anything else. If your fundamental belief system is wrong, if you rely on “facts” that turn out to be false, you typically find out sooner rather than later. These errors are *expensive*, too. If your fundamental beliefs are wrong, it will show up in your portfolio's performance.

If you want to make fewer money mistakes and develop the right thought process for successful investing, ask yourself, “Why do I need to have an opinion on everything?” Why can't we admit where we are ignorant and move on from there?

That is how a good investor thinks about the world.

“I don't know” is a very powerful tool that will help keep you out of trouble a lot, if only you have enough courage to say it. As we see later on, the fear of saying “I don't know” can lead to very costly errors.

Regardless of your hot take on pandemics, or presidential immunity or the Middle East, there is not a whole lot you can do about it. But notice how people talk about these topics. Most of the people I see discussing these